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Subject: US SECTORS CALL: Technology & Health Care
Date: 7 hours ago

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YARDENI QUICKTAKES

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By Ed Yardeni & Toby Hearst • 1 Nov 2026

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YRI S&P 500 SECTORS WEIGHTING RECOMMENDATIONS* (Oct 30, 2026)				
S&P 500 Sectors	Weight Recommendation	Week-to-Date	Month-to-Date	Year-to-Date
S&P 500		-0.6	-0.9	10.7
Communication Services	MW	-8.5	-15.2	-11.9
Consumer Discretionary	UW	1.0	3.9	-2.6
Consumer Staples	UW	1.6	11.4	15.9
Energy	OW	1.0	14.0	56.6
Financials	OW	1.1	5.8	3.1
Health Care	OW	3.1	9.8	19.4
Industrials	OW	1.7	0.2	7.9
Information Technology	MW	-1.8	-6.8	19.1
Materials	OW	2.0	6.5	14.5
Real Estate	UW	1.4	5.0	7.9
Utilities	MW	2.0	10.1	1.7

Source: LSEG Datastreamand © Yardeni Research.

* OW = overweight, MW = market weight, and UW = underweight.

Momentum returned to the AI trade early last week. Anthropic's IPO filing on Monday revealed a far more profitable business than investors had expected, and the AI trade rallied. SK Hynix added to it with blockbuster results overnight Tuesday.

Then the trade unraveled. Alphabet's earnings disappointed on Wednesday, and Intel's report triggered a chip rout on Friday. The Nasdaq fell 2.9% on the day. Intel plunged 28.6%. SanDisk fell 13.5%, AMD 10.9%, and Arm 10.0%.

The S&P 500 slipped 0.6% for the week, with its Communication Services sector down 8.5% and Information Technology down 1.8% (table). While those two sectors took hits as investors struggled to sort AI's winners from its losers, the other nine S&P 500 sectors rose last week, led by Health Care (OW), which rose 3.1%.

Here's more on the Information Technology and Health Care sectors:

(1) Information Technology. The hyperscalers split into two camps last week. The winning camp included Microsoft and Amazon, which pay for AI out of operating profits. Over the past four quarters, Microsoft's cloud revenues totaled $229.2 billion and AWS's $161.4 billion (chart). Azure grew 48% y/y in the latest quarter, and AWS grew 39%.

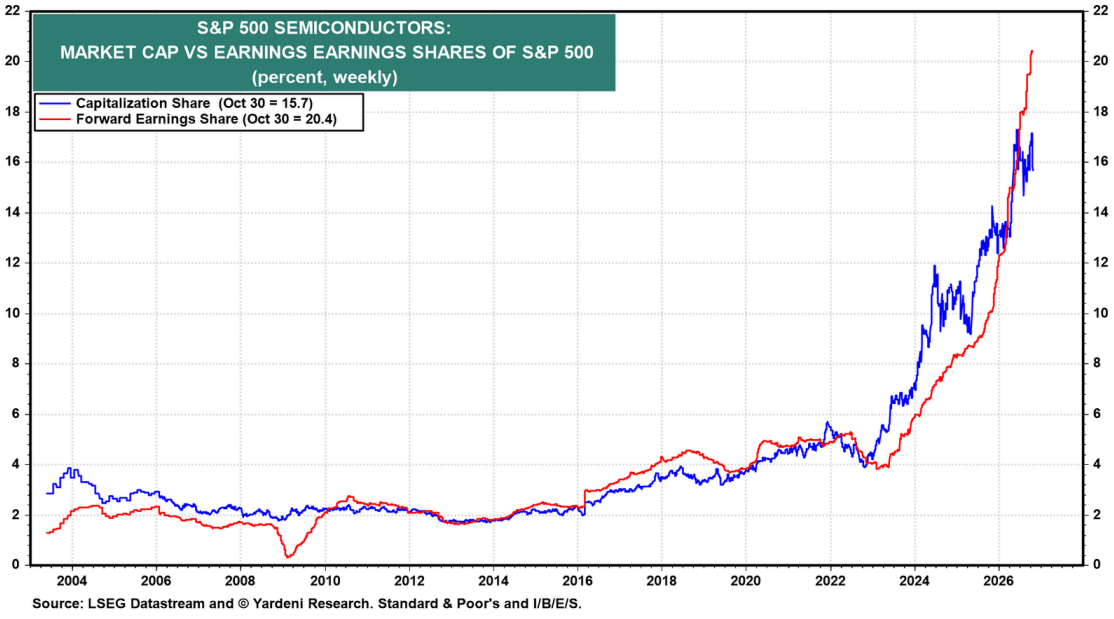
Alphabet is in the second camp. Google Cloud generated $93.3 billion over the same period, but Alphabet's Q3 revenues of $127.6 billion fell

short of the $128.2 billion consensus on a miss in Search, and its free cash flow disappointed. The stock dropped 12.3% on Thursday.

Oracle is working its way into the first camp. At its Investor Day on October 28, management guidance included revenue growth of more than 35% a year through fiscal year 2030. The stock rose 10.6%, but has since given back almost all of the gain.

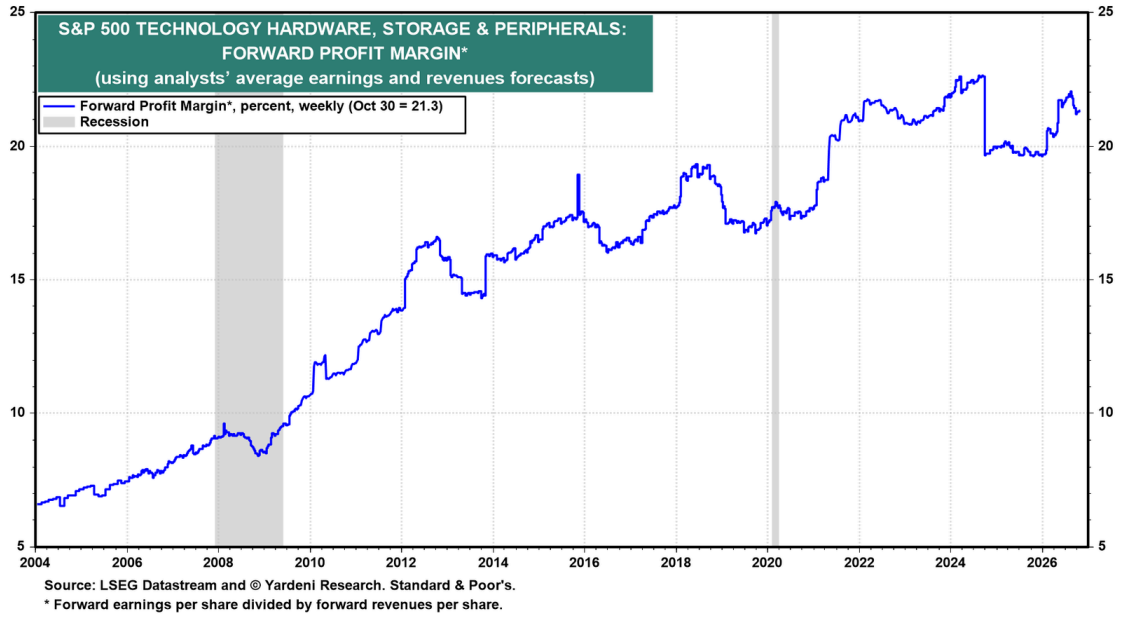
Demand is not the problem. The four largest cloud providers now report a combined $2.5 trillion in remaining performance obligations. Microsoft leads with $677 billion, up 73% y/y. Oracle follows at $664 billion, and Amazon's backlog doubled to $578 billion. Alphabet's reached $567.7 billion. The constraint is funding and delivering the AI infrastructure buildout necessary to monetize that backlog. Alphabet's selloff showed how quickly investors punish spending that fails to convert into cash.

Semiconductors are where the profits from that AI spending show up. The industry represents 20.4% of the S&P 500's forward earnings yet just 15.7% of its market cap (chart). Investors are not paying up for semiconductor earnings. The industry index trades at a forward P/E of 13.5, below the S&P 500's 18.5. Yet analysts expect the industry's earnings to rise 114.3% this year and 77.9% next year. Apparently, investors doubt the 2027 number.



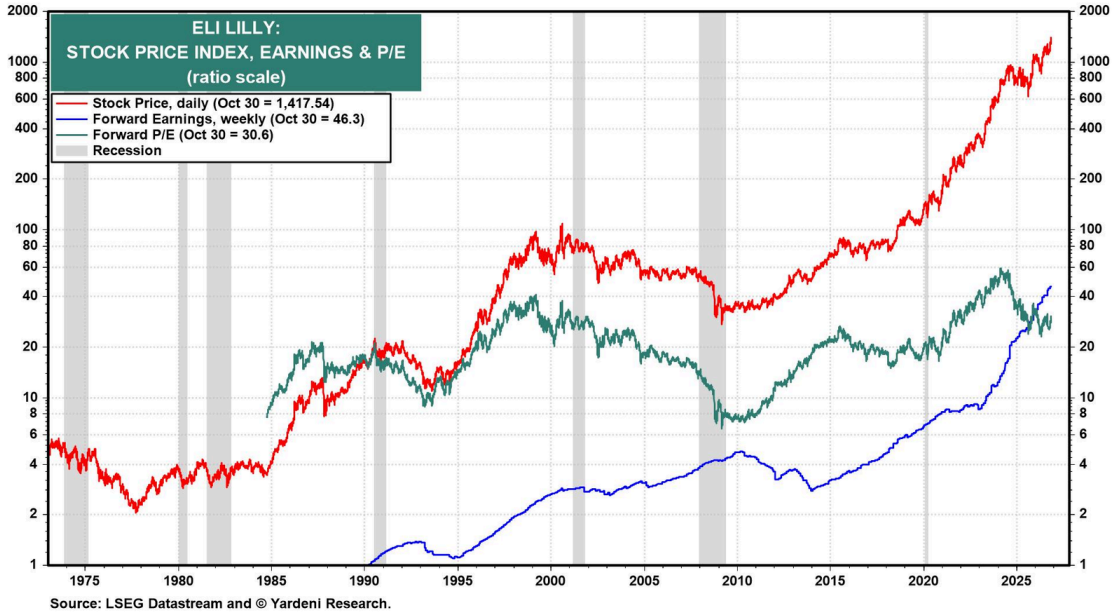
Intel showed why in its Q3 earnings report on Thursday night. Intel management gave guidance for Q4 revenues that was well below the consensus estimate, and the stock plunged 28.6% on Friday. Yet Intel's

data center and AI business boomed last quarter, with revenues up 78% y/y to $7.3 billion, the fastest growth in 15 years. PCs were the problem. Intel blamed PC makers' cutting inventory as memory prices and shortages pushed up system prices. Intel expects the PC market to shrink 12% this year and another 10% in 2027. The forward profit margin of the Technology Hardware, Storage & Peripherals industry has already slipped to 21.3% from a recent peak of 22.6% (chart).

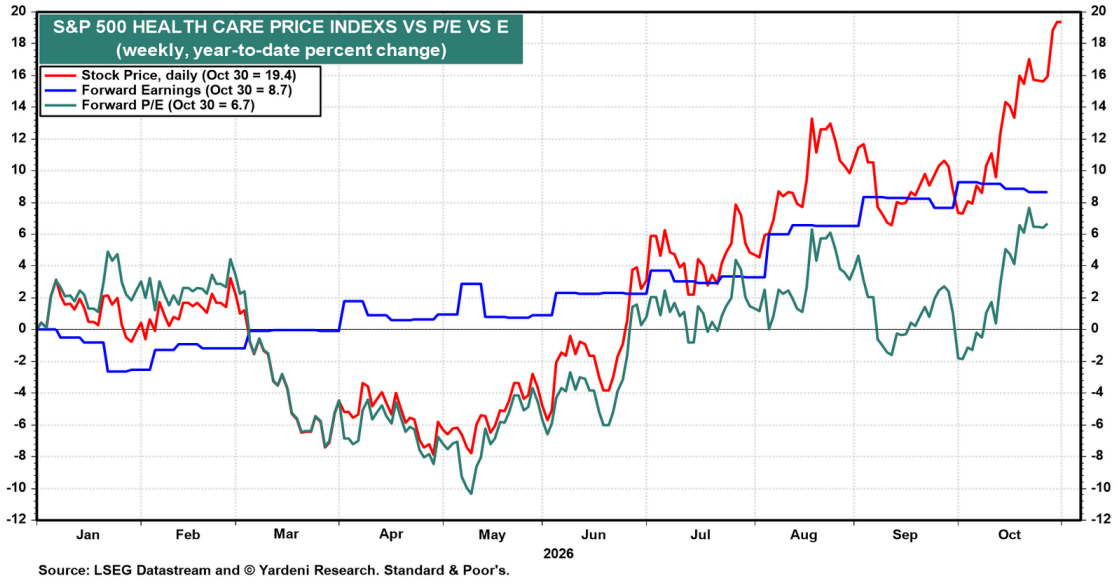


AI's appetite for memory is leaving none available for other uses. That means pricing power for the memory makers, which are sold out into 2029. We remain constructive on the chip trade, memory included, despite Friday's rout because AI spending is not slowing. We retain our market weight rating on Information Technology.

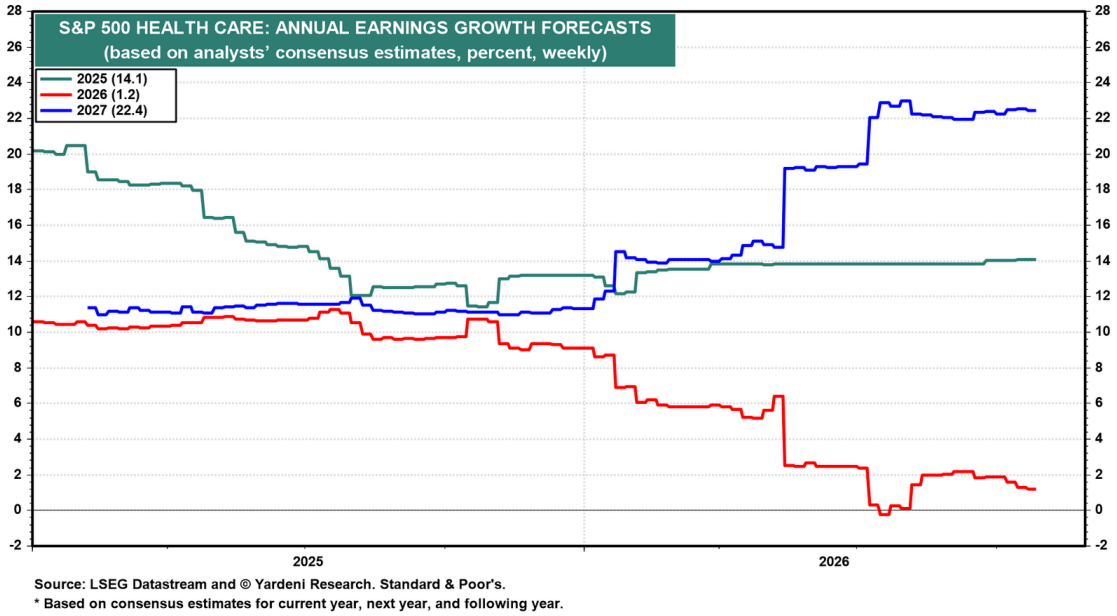
(2) Health Care. Eli Lilly delivered the week's best earnings report. Q3 revenues jumped 39% y/y to $24.4 billion, led by a 65% gain in Mounjaro sales. Lilly raised its full-year revenue guidance. Its forward profit margin rose to a record 40.3%. The stock is up 31.2% ytd (chart).



Health Care is up 19.4% ytd, while its forward earnings is up 8.7% and forward P/E is up 6.7% (chart). Its forward P/E of 19.9 now exceeds the S&P 500's 18.5.



Acquired In-Process R&D charges have depressed this year's results. Analysts expect sector earnings to rise 1.2% this year, then rebound 22.4% in 2027 (chart).



The Pharmaceuticals industry's earnings are forecast to fall 7.4% this year before jumping 29.1% in 2027, keeping its forward P/E aloft at 19.8, near the highest since 2002. AI is paying off here too. Moderna is up 618.5% ytd following the success of its AI-designed cancer vaccine. We continue to recommend overweighting the sector.

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